Short Questions

2017

1

Auditing :-

"Auditing is concerned with the verification of accounting data, with determining the accuracy and reliability of accounting statements and reports."

2

Adverse Opinion:-

An Auditor's Adverse Opinion is a big Red Flag.

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An Adverse Audit Report, usally indicates the finanical reports contain gross misstaments and have the potential for fraud. Adverse Opinions send Out a high alert that the Company's Records haven't been Prepared Accoording to GAP.

(3)

Verification:-

"Verification of Assets is a Process by which Auditors substaniate Accuracy of the Assets appearing in the balance Sheet."

(4)

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Audit Porgram:-

An Audit Program is an Outline of (features) all Procedures to be followed in Order to Arrive at an Opinion concerning a Client's finanical Statements.

-(5)-

Imprest System:-

The Imprest System is an Accounting System designed to track and document how Cash is being Spent. The most common example of an imprest System is The Petty Cash Payements.

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6

CIS Environment :-

For the Purpose of International Standards on Auditing, a CIS Environment exists when a Computer of any type or size is involved in the Processing by the entity of financial Information of Significance to the Audit, Weather that Computer is Operated by the entity or a third Party.

7

Internal Control System:-

Internal Control System means all the polices, Procedures methods, measures etc. adopted by the Mangement to ensure that everything Working in the Orgnization as it Should.

(8)

Vouching:-

"Vouching Refer to The inspection by The Auditor of documentry Evidence supporting and Substantiaing a transection."

(9)

Criminal liability of Auditor:-

Criminal liability of an Auditor arises Out of an Act Constituting a crime of which Auditor may be Awarded punishment of imprisonment or fine or both. The Companies Ordinance 2016 provides for Certain Offences for which an Auditor may be Criminally Prosecuted.

10

Difference between Error's And fraud:-

	Error	Fraud
•1	An Error is an unintentional Mistake.	An fraud is inentional misrepresentation of finanical information.
•2	Person Committing Error	Person Committing fraud have

has no intention to deceive or make a gain Out of Error.	have intention to deceive and to make a gain Out of it.

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has no intention to deceive or make a gain Out of Error.	have intention to decive and to make a gain Out of it.

(2018)

(1)

Internal Check :-

Internal Check means divison of book-keeping among Various clerks in such a Way That Work done

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by One is Checked by Another in the Course of duties.

(2)

Error On Principle:-

Where an accountant while recording a transaction by mistake fails to Observe a fundemental Accounting Principle, the mistake is Called Error Principle.

(3)

Auditor's liability For Misfeasance:-

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When the Auditor of a Company is Guilty of misfeasance that Causes to The Company, the Court may hold The Auditor liable in damages for Compensation of the loss. The Auditor's liability for Misfeasance means wrongful exercise of lawful Authority.

(4)

Investigation:-

An Investigation in auditing is a defined Assessment of Records and Enquiry into the situation of the business or for a Particular Reason.

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(5)

Contingent liability:-

A Contingent liability is a Potential liability that may Occur in the future, such as Pending lawsuits or honoring Product Warranties. If the liability is likely to Occur and the Amount Can be Reasonably estimated, the liability Should Recorded in The Accounting Records of a firm.

(6)

Teeming And lading:-

Teeming And lading is a term that describes a

Practice whereby Orgnizations attempt to hide a Cash loss in One Customer's Account by Moving in Money from Another Customers Account. It is Sometimes referred to as lapping. Short banking or delayed Accounting.

(8)

Auditor's Casual Vacancy:

Any Casual Vaccany of Auditor Shall be filled by the Board of directors Within thirty days from the date thereof. Any Auditor Appointed to fill in any Casual Vaccancy Shall hold Office untill the Conclusion of Next Annual

General Meeting.

(9)

D/W Internal Audit and External Audit :-

	Internal Audit	External Audit
•1	Internal Auditor is Appointed by the Mangement.	External (Shareholders) Auditor is Appointed by the Shareholders.
•2	Appointement of Internal Auditor is not a legal requirement. The decision Weather or not to appoint an internal Auditor depends upon Mangement.	It is a statutory requirement that Every Joint Stock Company Shall Appoint an Internal Auditor in Accordance With the Provisions of the Companies Ordinance 2016.

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(10)

Bin Card :-

Bin Card Which are Sometimes referred to as Inventory Cards or Stock Cards are Record keeping documents used in retail and Other businesses that require a stock room. They keep a running balance of a business's Inventory.

(7)

Decision of Case 1932 :-

[redacted]

(2019)

(1)

Interim Audit :-

When an Audit is Conducted up to a Particular date within a particular Period, it is Called an interim Audit. The Audit is Completed up to a Particular date Within the Accounting Year.

(2)

Internal Check :-

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-(3)-

Audit Working Papers:-

Working Papers mean all documents an Auditor Keep in his Record in Connection With Audit. These documents may be Prepared by the Auditor or his staff or may be Prepared by the Client or his Staff by Other Persons.

-(4)-

Qualified Auditor Report:-

A Qualified Report is One in which the Auditor is unable to express an unqualified Opinion but significance of his reservations is not so Profound as to enable him to express an Adverse or disclaimer of Opinion.

— (5) —

Auditor's liability for Libel :-

Liability of libale In the report the Auditor may Criticize any Person. If it is based on the fact there is no liability of the Auditor. On the Other hand the Auditor is Liable in Order to Avoid this Liability the Auditor should take Care that the Report is based on the facts and is Prepare With Good Intention.

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— (6) —

Computer Assisted Techniques:-

Computer Assisted Techniques or CAATs can be defined as an auditing Method that Uses Computer Software tools to Query Business data to Produce Report that will enhance an Audit.

— (7) —

Manipulation of Accounts:-

Accounting manipulation is defined as When the Mangers of an Orgnization intentionally misstate their finanical information to favorably represent

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(8)

Test of Controls:-

A Test of Controls is an Audit Procedure to test the effectiveness of a control used by a client Entity to Prevent or detect material misstatements. Depending on the results of this Test, auditors may choose to rely upon a Client's System of Controls as Part of their Auditing Services/Activities.

(9)

Un-Qualified Opinion:-

An Un-Qualified Opinion is an independent Auditor's

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Judgment that a Company's finanical Statements are fairly and appropriately Presented, Without any identified exceptions, and in Compliance With generally Accepted Accounting Principles.

(10)

D/W Theft And Pilferage :-

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(2020)

(1)

Advanteges of Audit Program:-

Following are the Advanteges of Audit Program:-

- Clarifies Adult Objectives
- Estimation of Adult Staff Requirement
- Allocation of Work
- Guidance to Audit Staff
- Supervision of Audit Staff

(2)

Error of Commission:-

Where a transection is by mistake recorded incorrectly, The Error is termed as an Error of Comission.

Example of Such Errors Includes:

- Passing a Wrong Entery in Journal
- Passing an Amount to Wrong leager Amount.

(3)

Un-Qualified Audit Report:-

An Un-Qualified Report is One in which The Auditor after Obtaining all information and necessary explanations, express his Complete statisfication that the finanical statements present True And fair View.

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(4)

Personal Qualities of Auditor:-

They Show integrity
They are effective Communicators
They are Good With technology
They are always learning
They are innovative.

(5)

Window dressing:-

The term Window dressing mean's manipulation of Accounts so as to Present the finanical Statements in a Way to Show better Position Than The Actual. e.g Assets May be Overstated and liabilities may be Understand.

6

Test Checking:-

Test Checking is Used instead of detailed Checking. The Auditor makes The Use of Tests Checks wherein he limits his examination of every transection entered by the Client in the books to Only Some Sepecfic Tests of The internal Control and Certain records or transections.

7

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Investigation:-

Ans Repeat

(8)

Techniques of Verification:-

Following are the techniques of verification.

- Vouching
- Confirmation
- Testing
- Scanning
- Analysis
- Inquiry

(9)

Audit Working Papers:-

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Repeate

(10)

D/W Error And fraud :-

Repeate

(2021)

(1)

Five Objectives of Internal control :-

Following are Objectives of Internal Control

- Efficient Utilization of Resources
- Protection of Assets
- Reliability of Information
- Timely Preparation of Information
- Compliance With Laws

(2)

Test - Checking :-

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(3)

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Three benefits of Audit Programs:-

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—(4)—

Teeming And lading:-

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